

Every transaction that occurs must consist of at least one debit and one credit entry. The total of all debits and credits must equal. As long as this rule is followed, the books will never get out of balance.

Let's Review a Few Examples

- A. **Business is started by the owner who contributed \$10,000 into the business checking account.**
- B. **Business buys a computer system to do consulting work on. The system costs \$6,000, which is paid for by a \$1,000 check and a loan for \$5,000.**
- C. **The owner buys three necessary items: a copy of Visual Studio, the Syncfusion library, and a subscription to a Web development magazine. Owner pays by check.**
- D. **The first installment of \$1,000 is paid on the computer system.**

To properly record the above events, the following items are entered in the chart of accounts:

Table 4: Chart of Accounts

Account #	Description	Type	Debit	Credit
1000	Cash-Checking Account	Asset		
1100	Software	Asset		
1200	Subscriptions	Asset		
1600	Computer System	Asset		
2000	Loan for Computer	Liability		
3000	Owner's Equity	Equity		

In addition, the following journal entries are written into the general journal:

Table 5: General Journal

	Account #	Description	Debit	Credit
A	1000	Cash-Checking Account	\$10,000	
	3000	Owner's Equity		\$10,000
B	1600	Computer System	\$6,000	